IUT



Introduction to Economics (week 1)

Prof. Heung Sang Kim

About me

Study

- ❑BA, Seoul National University, Korea (SNU)
- ❑Master, SNU (International Finance)
- ❑MBA, WP Carey School of Business, Arizona State Univ.(ASU), USA

- Finance

Career

- ❑Prof. of SBL since 2023 - Undergraduate and MBA students

- Finance, Economics, Business Strategy

- ❑KDB Bank Uzbekistan, General Director, Chairman of the Board (2019~2023)
- ❑KDB Bank, Korea (1991-2019)
  - ➢International Finance
  - ➢Trading, portfolio management (Bonds, FX, Derivatives)
  - ➢Funding (Bond market, syndicated loans, and other funding sources)
  - ➢Risk management
  - ➢Head of Research

KDB Bank, Korea





Mr. Kim, Heung Sang
Chairman of the Management Board
KDB Bank Uzbekistan (2023)

JSC "KDB Bank Uzbekistan"

JSC "KDB Bank Uzbekistan" is the largest international bank in Uzbekistan. The principal shareholder is the leading prime-rated bank - "KDB Bank", Korea (The Korean Development Bank) with the share of 86.32% and the highest credit ratings from the leading international rating agencies



Housekeeping

- Selecting 'Class Secretary'
  - Class members' own decision (voting ?)
  - Class secretary's benefit by the professor
    - ✓Full point of participation points (10 pts)

Syllabus and Course Schedule

Textbook	Title	Authors	Publisher	Place	Year	ISBN
	Essentials of Economics Naked Economics	Paul Krugman et al. Charles Wheelan	Worth Publisher Norton		2014 2019	0230019285 9780393356496
Lecture type	Lecture, Q&A					
(Notes)	There will be discussion questions for students to answer based on previous lectures. Extra points can be given to be added to your final score.					
(Evaluation Criteria)	(Attendance)	10%				
	(Midterm Exam)	40%	(Final Exam)	50%	(Total)	100 %
(Methods of Evaluation)	1. Attendance (10%) 2. Midterm and Final Exams (90%) 3. Extra points given in the classes to make up total score.					

The Authors of Textbook

Textbook: Essentials of Economics

Worth Publishers (either 2nd or 3rd edition is o.k.)

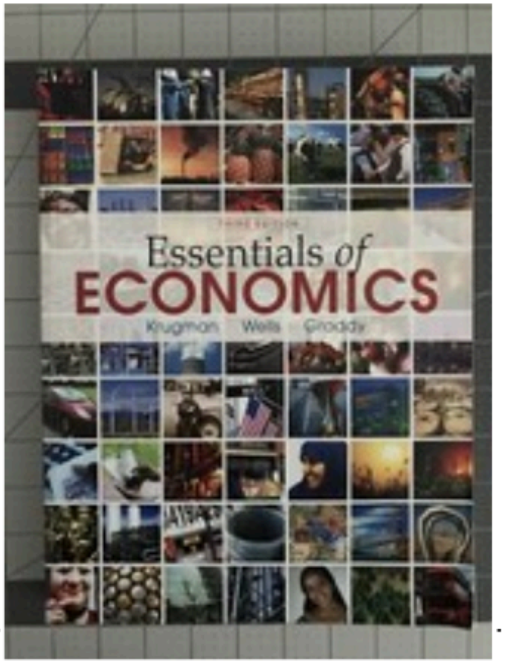
Paul Krugman

– 2008 Nobel Prize

Robin Wells

Kathryn Graddy





- Copied version is in the Library
- Accessible via https://drive.google.com/file/d/1Mjre5hwx0E6ahjx3t_fxDcp_AAfA-TM6/view?usp=sharing

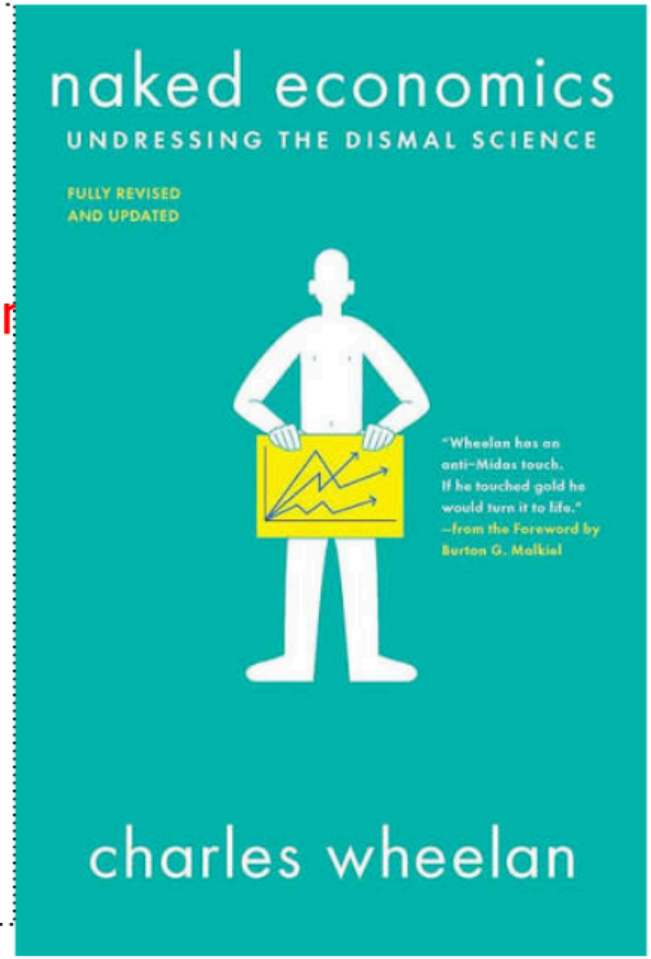
Complementary Textbook

Textbook: Naked Economics

Charles Wheelan

☞ No number, formula, function, graph, char or table!

☞ But it is undressing the dismal science of 'Economics' with reading fun!



- Accessible and downloaderble
- LG+: [Naked] Naked Economics: Undressing the Dismal Science{Charles Wheelan}(2019, W. W. Norton Company){138105915}

	Topic & Contents		Textbook
(1st Week)	Topic	Introduction	Krugman: Ch. 1, 2
	Contents	**Course syllabus and introduction** **What is Economics?**	Wheelan: Introduction
(2nd Week)	Topic	**What is economics?**	Krugman: Ch. 1, 2
	Contents	Economic Problems and tradeoffs	Wheelan: Introduction, Ch. 1, Ch. 13
(3rd Week)	Topic	**Supply and Demand**	Krugman: Ch. 3, 4
	Contents	Excess demand, Excess Supply, Market equilibrium,	Wheelan: Ch. 1
(4th Week)	Topic	**Elasticity**	Krugman: Ch. 5
	Contents	Elasticity of demand and supply	Wheelan: Ch. 1
(5th Week)	Topic	**The Producer**	Krugman: Ch. 6
	Contents	Cost, Profit Maximization	Wheelan: Ch. 1, Ch. 2
(6th Week)	Topic	**The Market Structure**	Krugman: Ch. 7, 8
	Contents	From Perfect Competition to Monopoly	Wheelan: Ch. 1, 2
(7th Week)	Topic	**The Role of Government**	Krugman: Ch. 9, 10
	Contents	Public Goods, Externality	Wheelan: Ch 3, 4
(8th Week)	Topic	**MIDTERM EXAM**	

(9th Week)	Topic	**What is Macroeconomics?**	Krugman: Ch. 10 Wheelan: Ch. 9
	Contents	Aggregate Demand, Aggregate Supply	
(10th Week)	Topic	**National Income**	Krugman: Ch. 11, 12 Wheelan: Ch. 9
	Contents	GNP, GDP	
(11th Week)	Topic	**Determination of National Income**	Krugman: Ch. 11, 12 Wheelan: Ch.9
	Contents	Y = C + I + G + (X - M)	
(12th Week)	Topic	**Determination of Economic Growth**	Krugman: Ch. 13 Wheelan: Ch. 13
	Contents	Economic growth, determinants	
(13th Week)	Topic	**Fiscal Policy**	Krugman: Ch. 14, 15 Wheelan: Ch.
	Contents	Budget Deficit, Tax Cut	
(14th Week)	Topic	**Monetary Policy**	Krugman: Ch. 17 Wheelan: Ch. 10
	Contents	Demand for Money, Supply for Money	
(15th Week)		FINAL EXAM	

Attendance and participation

Class attendance is checked before starting the class. If the student is not present during the attendance check he or she is considered absent. The professor should be notified by the late coming student right after the class so that he or she is not considered absent. Otherwise, he or she is still considered absent even if he or she came late. The rule for the number of absences allowed before a student will get a grade of F remains the same - more than 8 absences will be given an F.

If students are unable to attend the class due to sickness or other justifiable reasons, they should provide genuine medical certificates and other proofs to be submitted to the Academic Affairs as early as possible. As a general rule, any appeals based on medical grounds or other justifiable reasons during the grading period (Weeks 16 & 17) will not be considered.

Midterm and Final Examination

These examinations will cover all materials covered in the course. Midterm exams will cover all lectures and discussions for the first half of the semester while the final exams will cover the lectures delivered in the second half of the semester. Guidelines for the exams will be provided as we get closer to the exams. NO MAKE-UP, LATE, OR EARLY EXAMS WILL BE GIVEN as a general policy except in emergencies. Business-related absences (e.g.: job interview or business trip) are not excused. In addition, academic dishonesty will not be tolerated. It can result in an F in an exam or in the course. See University policy on academic dishonesty for more details.

What is Economics?

- (resources) a social science concerned with the production, distribution, and consumption of goods and services

- (participants) It studies how individuals, businesses, governments, and nations make choices about how to allocate resources

- Economics focuses on the actions of human beings, based on assumptions that humans act with rational behaviour.

Economics - continued

Scientific study on Economy
Questions on:

- Jobs: Who creates jobs? What kinds of jobs, How many jobs are created?
- Production: What to produce?, How much?, How to produce?
- Distribution: Who gets, how much?
- Consumption: Consume what? How much?
- Why are some countries richer and other countries are poor?

All these questions are based on a set of common principles.

Economics

Economics belongs to the Social Sciences

Sciences

- Social Sciences: Human Society
- Natural Sciences: Materials
- Formal Sciences: Logic, Mathematics
- Applied Sciences: Engineering, Medicine

Economics - continued

The most basic assumption in economics is that individuals are making choices

In modern society, my decision is shaped by decisions by other people, our choices interact.

Interactions as a whole, economy-wide interactions (participants)

Twelve Economic Principles

Four principles on individual choices

Five principles on interaction

Three principles on economy-wide interactions

Branches of Economics

Microeconomics: studies the behavior of individuals and firms in making decisions

Macroeconomics: dealing with the performance, structure, behavior, and decision-making of an economy as a whole

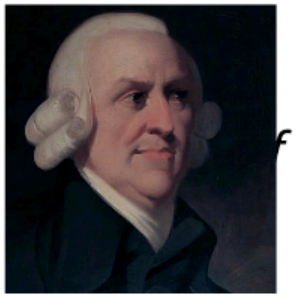
Development economics
Econometrics
Economic history
Environmental economics
Energy economics
International economics
Labor economics

Law and economics
Mathematical economics
Monetary economics
Public finance
Regional economics
Resource economics
Welfare economics

Before we get into the 12 principles …..

Market economy vs. command economy
Microeconomics vs. macroeconomics
The Wealth of Nations by Adam Smith
Adam Smith's invisible hand
Market failure
Business (economy) fluctuation
Recession, depression
Economic growth
Alfred Marshall

Adam Smith and Alfred Marshall

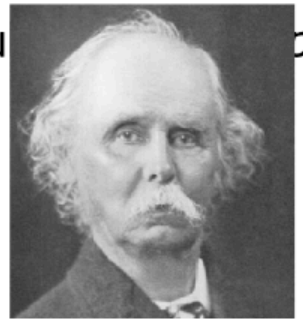


Adam Smith (1723 - 1790) published *An Inquiry into the Nature and Causes of the* *f Nations* in 1776. Smith laid the foundations of classical free market economic theory.

"It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our own necessities but of their advantages."

Alfred Marshall (1842 - 1924)

pu *ples of Economics* (1890)



"Nature never leaps" ,

"Cool head with warm heart"

Twelve Economic Principles

I. Four principles on individual choices

Principles that Underlie the Economics of Individual Choice

1. Resources are scarce.
2. The real cost of something is what you must give up to get it.
3. "How much?" (or "How many") is a decision at the margin.
4. People usually exploit opportunities to make themselves better off.

Scarcity and opportunity costs

"There's no such thing as a free lunch"

PRINCIPLE #2

RESOURCES ARE SCARCE AND, THEREFORE, WE HAVE TO MAKE CHOICES

A “resource” is anything that can be used for production.



Labor



“Capital”



Land and raw materials



Entrepreneurial ability



What are “resources”?

Which important resource do all of us have?

A “resource” is anything that can be used for production.

How do you think about time?



What is “scarcity”?

All resources are “scarce” because they are finite.

Since resources are scarce, we have to make choices.

“There is no such thing as a free lunch.”

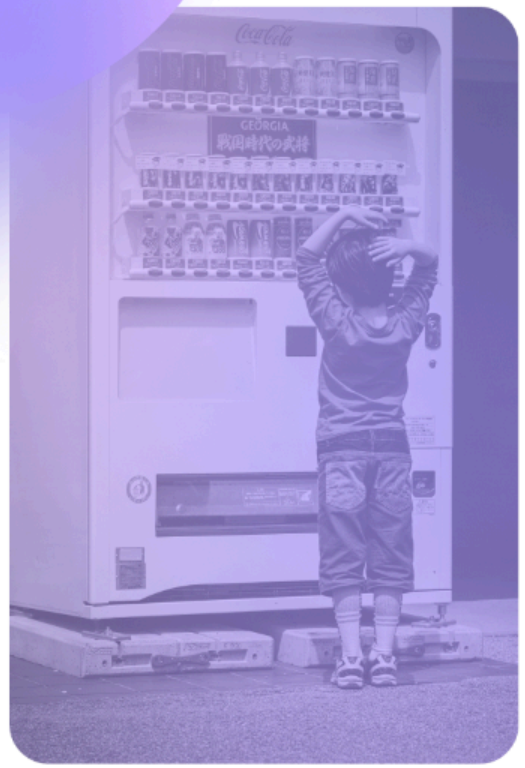
This saying is often associated with American economist, Milton Friedman. It describes opportunity cost.

Every choice has at least one alternative that we passed up.



What happens when we choose?

Choosing one thing means we're giving up an alternative.



Every activity has the opportunity cost of time.

This includes activities
that have no monetary cost.

But it also includes the activity of searching for alternatives, like a new job!



Opportunity Cost:

The value of the
next-best alternative

For any decision, ask yourself these questions:

- How much do I value this?
- What am I giving up now to have it?

Opportunity cost is often is expressed in
market prices.



Opportunity Cost:

What is the true cost of college?

Expense	Opportunity Cost
Tuition and Books	How else would you have spent the money?
Studying	What would you be doing instead? Would you be working?
Housing and Food	Would you still need them?

For each, what are the next best alternatives?

Opportunity costs

Firms and governments face them too.

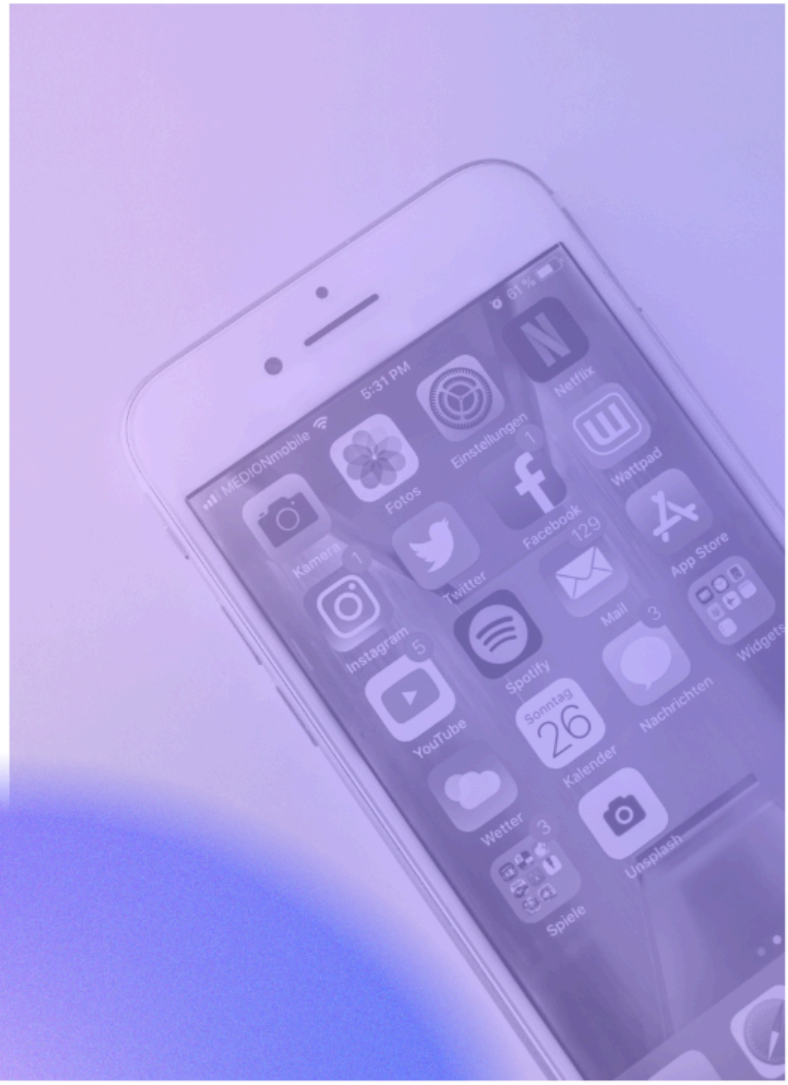
Expense	Opportunity Cost
New automated machinery	More workers.
Sheet rock for larger houses	Using it in more schools or hospitals

The next best alternative is always their OC.

Opportunity costs: Different for everyone

Opportunity costs are relative.
They differ for everyone.

The opportunity cost of a $1000 i-Phone is very different for the person earning $1000 a week and the person earing $5000 a week.



An example of marginal decision

Marginal Decision: A bit more or a bit less from the situation you are now

- Situation: Should I hire one more worker?
- Marginal cost: The cost when I hire one more worker = w (wage)
- Marginal benefit: The benefit I can get when I hire one more. (= increased product x price)

  This increased product by this worker = MP_L

  I can sell this much at the market price (p) per unit.

  * MP_L is called as marginal product of labor.

So, if my marginal cost is less than my marginal benefit, i.e.

$w < p * MP_L$, then I should hire one more worker

* P is already decided in the market from a price-taker's perspectives

II. Five principles on interaction

Principles That Underlie the Interaction of Individual Choices

1. There are gains from trade.
2. Markets move toward equilibrium.
3. Resources should be used as efficiently as possible to achieve society's goals.
4. Markets usually lead to efficiency.
5. When markets don't achieve efficiency, government intervention can improve society's welfare.

•There Are Gains from Trade

In a market economy, individuals engage in trade: They provide goods and services to others and receive goods and services in return.

There are gains from trade:

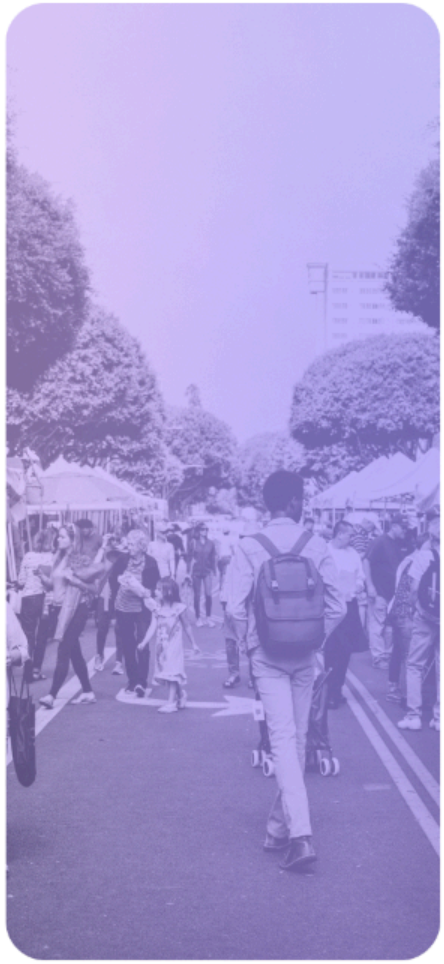
- people can get more of what they want through trade than they could if they tried to be self-sufficient
- This increase in output is due to specialization: each person specializes in the task that he or she is good at performing.

Why is trade important?
Mutual Benefit

Mutual gain is the foundation of the market and trade.

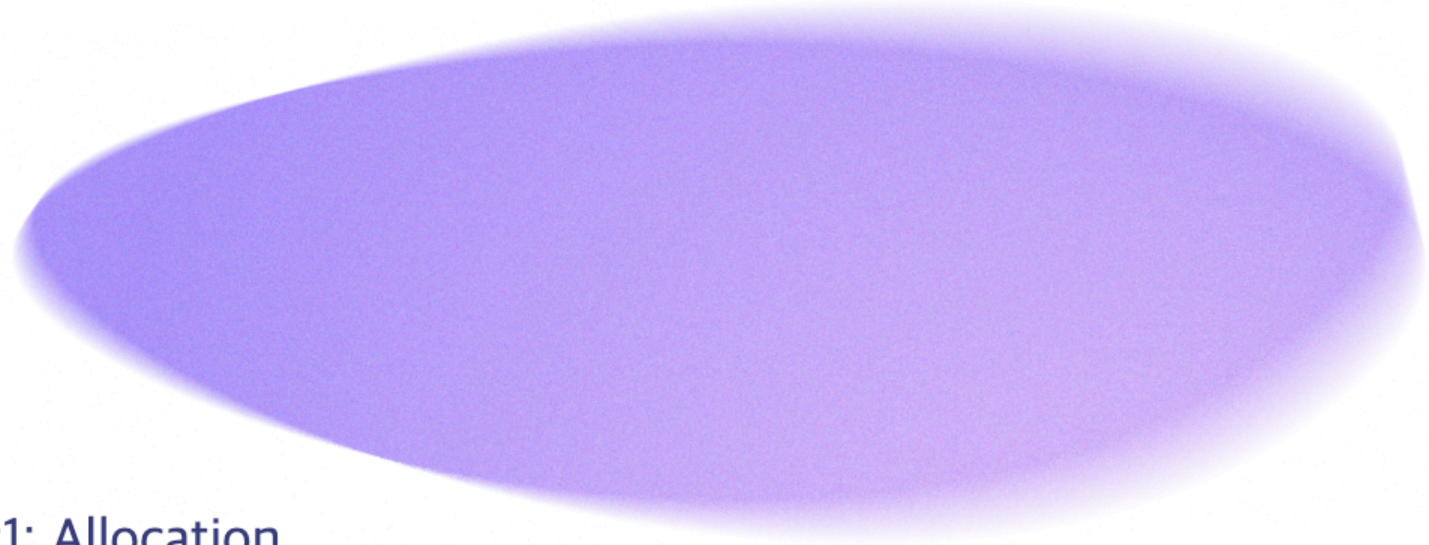
When you buy anything in the market, you expect to gain and so does the seller. MB > MC!

International trade is just a market on a much larger scale.
The same fundamentals apply.



3 main ways trade promotes economic growth

Method	How it helps
Expands resource allocation	More people get the goods and services they want.
Specialization and comparative advantage.	Makes larger production and consumption levels possible.
Encourages large-scale production methods	Economies of scale: Large-scale production lowers per-unit cost



Source #1: Allocation

Trade distributes goods to those who value them more.

Product allocation

Trade moves goods to those who value them.

Voluntary exchanges like trade move goods from people who value them less to people who value them more.

Secondhand markets are a good example of goods gaining value just by being reallocated.

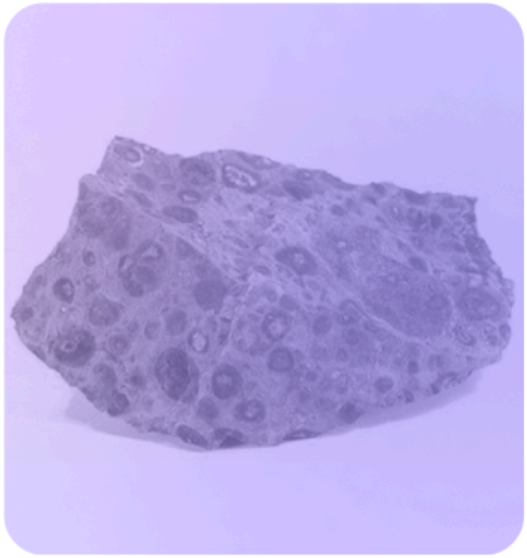


Resource Allocation

Trade moves resources to where they don't exist.

Bauxite is a mineral that is important for the production of aluminum and other products like cars and electronics.

The United States doesn't have a lot of bauxite.
It must import most of its supply from Jamaica.



Public domain, source United States Geological Survey (USGS.gov)





Immigration.

A voluntary allocation of labor.

A Jamaican electronics engineer will be better off if he moves to the United States to get a better-paying job.

An American sugarcane producer may want a change of lifestyle from Texas or Louisiana and move to Jamaica to start a sugar farm there.

Source #2: Specialization

Comparative Advantage and Specialization help nations gain from trade.

Source #2: Specialization

Trade makes larger production levels possible.

Specialization - When each of us can perform the tasks we do best.

Comparative advantage - We compare the production efficiencies between nations to indicate the best specialization.

We will talk about it in more detail later on!

Specialization

What makes trade beneficial to nations.

Just like individuals, every nation has at least one relative advantage in production.

Geography, infrastructure, and labor skill may not be equal between nations, but they all converge to help nations excel in something.

Ukraine -	sunflower oil, corn
Georgia -	Copper ore, Iron Alloys
Armenia -	Copper Ore, Rolled Tobacco
Albania -	Leather footwear, men's suits
Azerbaijan -	Crude oil, tomatoes
Russia -	Crude oil, frozen fish (whole)
Uzbekistan -	Cotton yarn, silk waste
Kazakhstan -	Crude oil, petrol gas
Kyrgyzstan -	Precious metal ore, dried legumes

Comparative Advantage

All about Opportunity Cost

A country has a comparative advantage in producing one good if it can produce one good at lower opportunity cost relative to other countries.

In order to illustrate how specialization and comparative advantage work together to make trade a net benefit to the nations involved, we'll use some economic models.



Source #3: Economies of scale

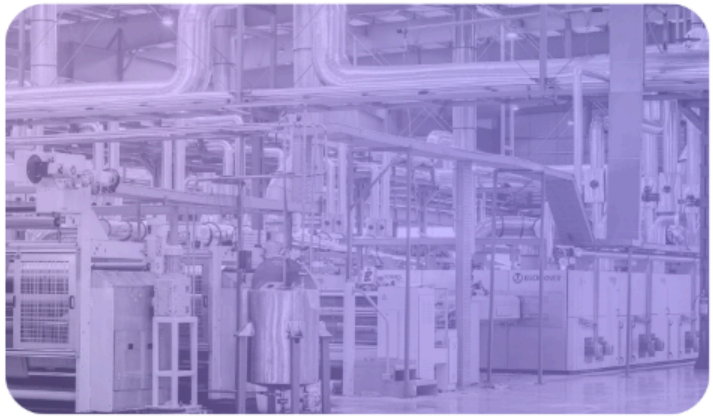
Large-scale production lowers per-unit cost.

Economies of scale

Mass production lowers costs

Trade leads to increased large consumer base which increases quantity demanded.

Large scale production lowers per-unit production costs.



Economies of scale

A lower per-unit cost.

Total Cost for production includes per-unit costs, but also includes Fixed Costs.

Therefore, quantity - in the denominator - if larger, will result in a lower Average Cost.

$$\text{Average Cost} = \frac{\text{Total Cost}}{\text{Quantity}}$$

•Markets Move Toward Equilibrium

An economic situation is in equilibrium when no individual would be better off doing something different.



Witness equilibrium in action at the checkout lines in your neighborhood supermarket.

•Resources Should Be Used as Efficiently as Possible to Achieve Society's Goals

An economy is efficient if it takes all opportunities to make some people better off without making other people worse off.

Equity means that everyone gets his or her fair share. Since people can disagree about what's "fair," equity isn't as well-defined a concept as efficiency.

•Markets Usually Lead to Efficiency

The incentives built into a market economy already ensure that resources are usually put to good use, that opportunities to make people better off are not wasted.

Interaction: How Economies Work

- When Markets Don't Achieve Efficiency, Government Intervention Can Improve Society's Welfare

- Individual actions have *side effects* that are not properly taken into account by the market.
- One party prevents mutually beneficial trades from occurring in the attempt to capture a greater share of resources for itself. (Ex: Monopoly)
- Some goods, by their very nature, are unsuited for efficient management by markets. (Ex: Drugs)

III. Three principles on economy-wide interactions

1. One person's spending is another person's income.
2. Overall spending sometimes gets out of line with the economy's productive capacity.
3. Government policies can change overall spending
   - Government can change its spending policy, tax policy, and control of money

KEY TERMS

Individual choice
Resource
Scarce
Opportunity cost
Trade-off
Marginal decisions
Marginal analysis
Incentive

Interaction
Trade
Gains from trade
Specialization
Equilibrium
Efficient
Equity